17

The Welfare State and the Myth of the Social Wage

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INTRODUCTION

This article deals with the relation between postwar fiscal policy and the standard of living of workers. Our aim is to analyze the growth of the so-called welfare state and its impact on the working class in the United States.[1] We will examine actual empirical patterns in the United States and use them to evaluate the radical literature on the workings of the welfare state and on the impact of transfer payments and socialized consumption on the economic crisis.

Conventional methodology makes it difficult to deal with many important issues concerning the social impact of state taxation and spending. To begin with, because conventional studies generally classify people according to the amount of income they receive, those whose income derives from labor are grouped together with those who derive their income from the ownership of property. This means that the distinction between workers and non-workers is obscured. Secondly, when analyzing the impact of state spending on these groups, *all* government spending is treated as a pure benefit. Within such a framework, the very notion of social benefit loses all meaning because a great expansion of military spending (as over the Vietnam War years) is treated as essentially equivalent to an expansion in social welfare spending. In these ways, the methodology underlying the research actually obscures the social costs and benefits of state intervention.

In recent years, some radical social scientists have attempted to correct for the above defects by focusing on the actual social welfare expenditures undertaken by government, and tracing their impact on workers. Here, the conclusion has been that there has been a dramatic rise in the benefits received by workers over the postwar period. These benefits are sometimes referred to as a "social wage" or "citizen wage," and have been taken to imply that it is the state which subsidizes the working class. But a closer examination of such studies reveals that they have either ignored the taxes paid by the recipients of social welfare expenditures (Therborn 1984) or else seriously underestimated them (Bowles and Gintis 1982a). Once this important deficiency is recognized, it is no longer possible to conclude that the benefits received by workers constitutes a net addition to their wages, since part or even all of the observed benefit flows may be covered by the corresponding taxes paid by workers. Thus the major conclusions of these studies can no longer be accepted at face value.

In this article, we propose to re-examine the state's direct participation in the distribution process vis-a-vis the working class, and to identify its effect on the wages of workers. The above question requires an operational concept which measures the net impact of state activities in taxation and expenditures on the working class as a whole.

The concept proposed is that of the *net transfer*, namely, benefits and income received from the state *minus* taxes paid by workers to it. Estimating a net transfer series for the United States for the period of 1952–85 will enable us to examine the validity of the hypothesis that there exists a large social wage whose burden is borne by capital through a reduction in income available for profits. Since this latter hypothesis is a version of a "wage-induced profit squeeze" argument (Bowles and Gintis 1982a:53), our analysis also falls within the purview of the Marxist literature on crises.

In what follows, we will begin by pointing out some of the significant errors and omissions in the existing measures of the social wage. We will then construct an alternative definition, based on the concept of the net transfer from workers' income, and present our own estimates for the United States from 1952–1985. This will enable us to contrast our results with those of earlier studies, particularly the one by Bowles and Gintis (1982a).

THE RADICAL LITERATURE ON THE SOCIAL WAGE

The concept of some sort of net transfer appears fairly frequently in the literature on the welfare state (Shaikh 1978; Gough 1979; Bowles and Gintis 1982a, 1982b; Tonak 1984, 1987; Therborn 1984). But its definition varies considerably, and its use is sometimes quite misleading. In the interest of brevity, we will confine ourselves to discussing representative positions within the radical literature. Broadly speaking, we can distinguish two main positions. First, those, who tend to treat social expenditures as a kind of social wage, without regard to the taxes paid by workers; and those who deal with both expenditures and taxes, so as to estimate the net transfers involved.

The first position is represented by authors such as Therborn. He begins by noting that the rise of welfare state capitalism is attended by a rapid growth of "politically determined and regulated income flows" and ends up concluding that "in advanced capitalist countries today, between one-fifth and one-third of all household income derives from public revenue and not from property or labor" (Therborn 1984:25-26). But his conclusion that a large proportion of household income derives from state expenditures is only valid if these expenditures represent a transfer which is the net of taxes paid. Obviously, if the taxes paid out of household income were equal to the sum of social welfare expenditures (including the wages of workers employed in administering these expenditures), then no matter how large or rapidly growing the state expenditures, households would experience no net gain at all. The state would have merely intervened to siphon off income in money-form (taxes) and then inject it back as a mixture of commodities and payments (social welfare expenditures). Whereas this might alter the distribution of income among households, it would leave the total income unchanged. Thus, a rising level of social expenditures would not in itself imply a rising burden for the system, since it could merely represent a rising amount of income re-circulated via the state. The line of argument represented by Therborn is therefore not adequate for an analysis of socialized consumption and its impact on accumulation and crises, because it improperly identifies the level of social welfare expenditures with that of the social wage.

This brings us to the second type of study, in which both social welfare expenditures and taxes are taken into account. Here, the debate turns on the direction and size of the net transfer between workers and the state. On the one hand, our earlier work on the United States (Shaikh 1978; Tonak 1984, 1987) found that over the postwar period there has been a net transfer from workers to the state: the so-called social wage is actually a social subsidy of the state. For the United Kingdom, Gough (1979) seems to get similar results in that his single estimate for 1975 yields a net transfer of 5.2 billion pounds from the overall household sector to the state (Gough 1979:109). However, because he adopts the conventional definition of an undifferentiated household sector,he fails to distinguish between workers and non-workers on either the side of taxes or expenditures. This severely limits the value of his results.

On the other hand, Bowles and Gintis (1982a) estimate that the net transfer in the United States goes the other way, from the state to workers. According to them, over the postwar period the state has induced a "substantial redistribution from capital to labor." The resulting "citizen wage" has grown so rapidly that by the 1970s it plays "a critical role in producing and prolonging" an economic crisis (Bowles and Gintis 1982a:69, 84-85). Bowles and Gintis's study adopts an empirical framework roughly similar to our previous studies (Shaikh 1978; Tonak 1984). It is therefore striking that the two sets of results should differ so dramatically. But the mystery is easily resolved because the Bowles and Gintis methodology contains major empirical deficiencies which serve to bias their results towards an egregiously inflated estimate of the social wage. The basic problem arises from their use of an official series on the gross and spendable income of an "average" production worker with three dependents. Bowles and Gintis treat this data *as if it is representative of the average working class family*. But in fact the published series merely refers to a hypothetical family with four people, only one of whom is assumed to work (Bowles and Gintis 1982a:73). In other words, this statistical series assumes a stereotypical family with one male worker, a *non-working wife*, and two children. By way of contrast, the actual average United States household in 1977 contained roughly three people, and 1.2 working members (which includes a significant proportion of working women).[2]

Since Bowles and Gintis overestimate the number of people per household by a third, they correspondingly overestimate the social welfare expenditures received by the average household.[3] At the same time, they underestimate the average household tax payment by two-thirds.[4] This occurs for two reasons. First, because they underestimate the numberof income earners per household (by implicitly leaving out working women) and thereby underestimate the federal income taxes paid. Second, because the published series they use leaves out all state, local, and other taxes paid.[5]

By definition, their "citizen wage" per household is the difference between social welfare benefits received and the total taxes paid. With the former overestimated and the latter underestimated, the measure of the social wage becomes greatly inflated. It is this set of mutually reinforcing errors which produces the apparently dramatic rise in their measure of the citizen wage. When one corrects for these sorts of errors, their conclusions are totally reversed. Instead of a social subsidy of workers in the United States, one finds a social subsidy of the state. And with this, their strained and artificial construction linking social welfare expenditures to the current crisis simply falls to the ground. In its place, as we shall see, emerges the possibility of a much simpler and more sensible explanation of the course of social welfare expenditures.

The above errors and lacunae in the works of authors such as Therborn, and Bowles and Gintis are symptomatic of a deeper problem. Namely, the absence of a consistent methodology and comprehensive framework in addressing these issues. Accordingly, in the next section of this paper we will attempt to construct just such a methodology and framework, rooted in a Marxian analysis of capitalist reproduction. We will then present the resulting empirical estimates and analyze their implications for the current crisis.

EMPIRICAL METHODOLOGY

In order to measure the net impact of state expenditures and taxes on the standard of living of the working class, we will focus on the net transfer in relation to workers' income. This is defined as wages and benefits received by workers minus taxes paid to the state. In what follows, we first briefly outline the methods of allocating both various government expenditures and taxes to labor and then report the estimates of the net transfer over the period 1952–1985. Because the net transfer is negative over most of this period, it actually represents a net tax on workers. Finally, this estimated net transfer is adjusted for inflation, changes in employment, etc. in order to capture certain significant trends within the context of cyclical capital accumulation. In determining the portion of state expenditures which are directed towards workers, we begin by classifying various state expenditure categories into three major groups. The first group consists of items such as Labor Training and Services, Housing and Community Services, and Income Support, Social Security and Welfare (except the small items called Military Disability and Military Retirement which we treat as a cost of war). These are assumed to be received entirely by workers either in money or in commodity form. The second group includes conventional categories such as Education, Health and Hospitals, Recreational and Cultural Activities, Energy, Natural Resources, Transportation, and Postal Services. These are treated as social consumption in general, and the workers' share in them is estimated by multiplying the group total by the share of total labor income in personal income.[6] The last group comprises two kinds of expenditures; those consisting of Central Executive, Legislative and Judicial Activities, International Affairs, Space, National Defense, Civilian Safety, Veteran Benefits, and Agriculture. These are the expenses of reproducing and maintaining the system itself (what Marx calls the *faux frais* [Marx 1977:446] of capitalist society). And those consisting of Economic Development, Regulation and Services, Net Interest, and Others and Unallocables. This last set represents expenditures directed mainly toward small businesses, related administrative activities, and interest payments to the highest income brackets. We therefore exclude both sets from labor income and consumption.

In analyzing the tax side, we begin with the primary category of Total Employee Compensation. This is the total cost incurred by capitalists for the purchase of labor power.[7] It comprises both wages and benefits including Employer Contributions for Social Insurance and Other Labor Income. We will identify two main groups of taxes which flow out of this total.[8] Employee Compensation is the cost to the capitalists of hiring workers. But the income received by workers is less than this because a certain portion labelled Employee and Employer "Contributions" is deducted for social security.[9] Accordingly, our first group of taxes consists of the portion of employee compensation which goes towards social security taxes. The second group of taxes consists of Personal Income Taxes, Motor Vehicle Licences, Property Taxes (primarily on homes) and Other Taxes and Non-Taxes (a very small category which includes passport fees, fines, etc.). Since these are levied on both earned and unearned incomes, the portion emanating from labor is estimated by using the share of total labor income in personal income.[10]

To summarize, *social welfare expenditures* directed towards workers are taken to comprise all of Labor Training and Services, Housing and Community Services, Income Support, Social Security and Welfare (except for Military Disability and Retirement), and the bulk of Education, Health and Hospitals, Recreational and Cultural Activities, Energy, Natural Resources, Transportation, and Postal Service expenditures. Similarly, *taxes levied directly on workers' compensation* are taken to include all Social Security Contributions, as well as the bulk of Personal Income Taxes, Motor Vehicle Licences, Property Taxes, and Other Taxes and Non-Taxes.[11] The *net transfer* is then the difference between social welfare expenditures directed towards the working class, and taxes taken out of the flow of employee compensation.[12] The Appendix illustrates derivation of the data for 1964 and presents our basic estimates for 1952-1985.[13]

Figure 1 shows the apparent real wage per worker (employee compensation) versus the true real wage (employee compensation plus net transfer). Figure 2 presents social welfare expenditures and taxes levied as proportions of employee compensation (which we call the benefit and tax rates, respectively). Finally, Figure 3 shows the net transfer as a proportion of employee compensation (the net transfer rate). The analysis of these trends and of their implications for the current crisis will be presented next.

Figure 1
Real Wages per Worker

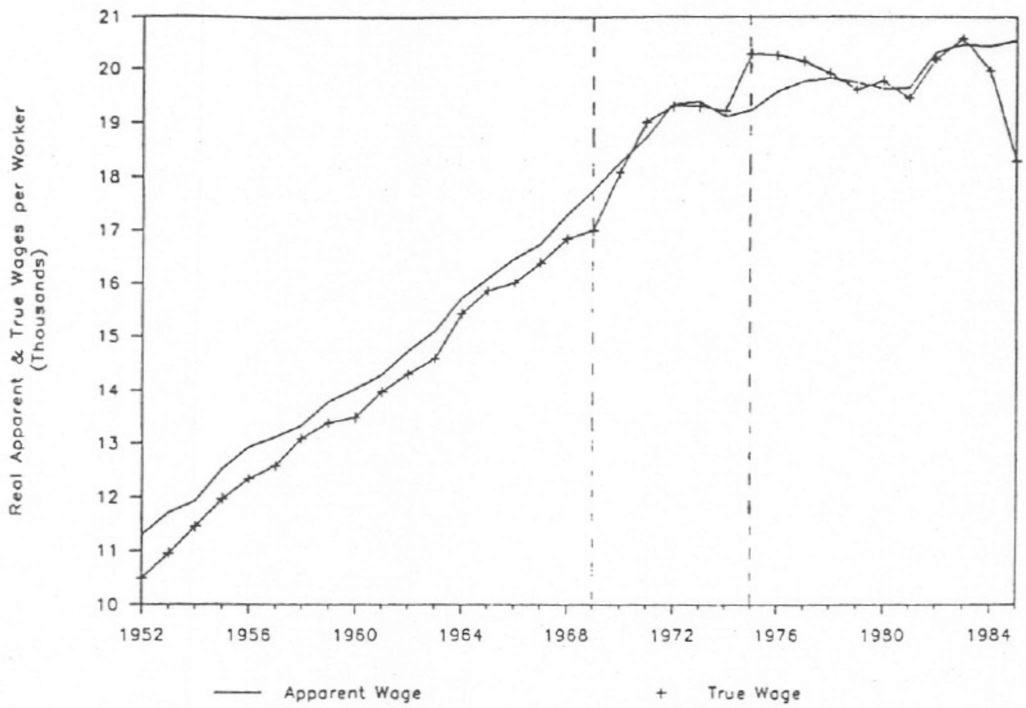


Figure 2
Benefit, Tax & Unemployment Rates

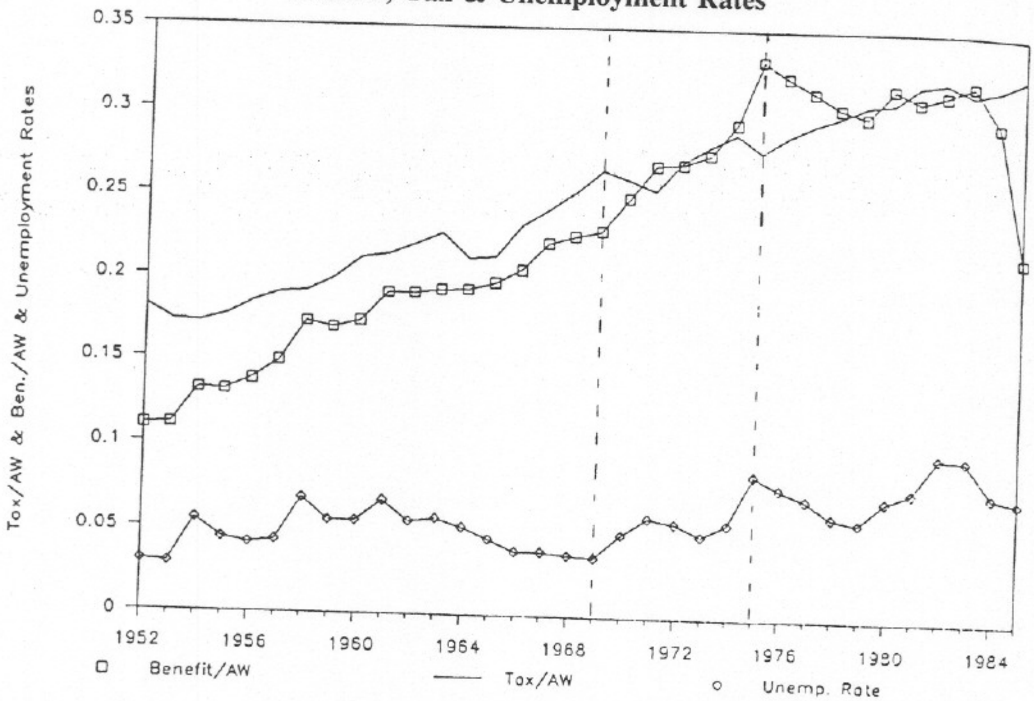
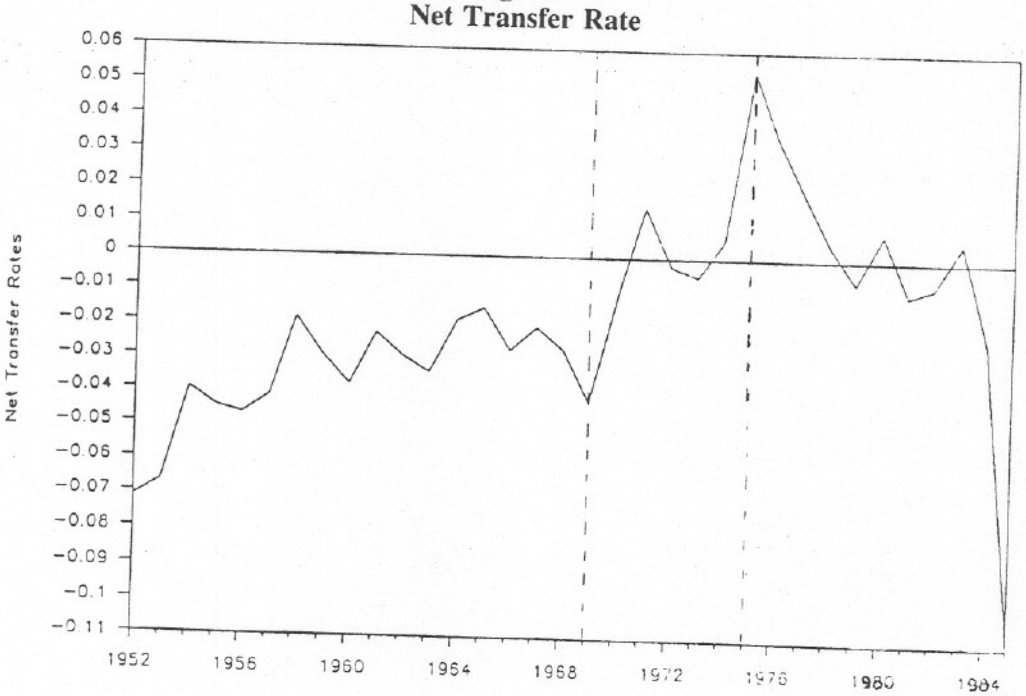


Figure 3
Net Transfer Rate



EMPIRICAL RESULTS AND THEIR IMPLICATIONS FOR THE CURRENT CRISIS

We can draw several implications from the above trends. Figure 1 shows that the true wage of workers is almost always below their apparent wage. This means that it is the workers who generally end up transferring a net portion of their wages to the state. Arguments such as those of Bowles and Gintis, which claim that "there has been a substantial redistribution from capital to labor" over the postwar period, and which trace the current economic crisis back to a supposed increased social wage appear to be quite ill-founded.

A second implication of our results is that the intervention of the state has actually served to increase the rate of exploitation of workers (relative to its trend), since their true wage is below their apparent wage (Figure 1).[14] But this should not be taken to imply that the increased rate of surplus value has thereby raised the rate of profit (relative to its trend), because it does not follow that the net tax paid by workers was transferred over to capitalist enterprises. In all probability, this amount was absorbed by the state itself, in support of various activities ranging from general administration to the military. To analyze this further, one would have to extend our basic approach to encompass transfer to/from capitalist enterprises and the capitalist class itself. This is beyond the scope of the present paper.

The fact that a rising "social wage burden" cannot be blamed for the current crisis leads us back to the question of the causes of the crisis. Here we would argue in favor of the classical Marxian notion of a falling rate of profit in which a rising organic composition of capital lowers the rate of profit despite a generally rising rate of surplus value. The logical and empirical bases for this argument are spelled out in the paper by Shaikh (1987; in this volume). Within such a conception, the basic capitalist dynamic originates in the antagonistic process involving the production of capital itself, and is then modified by more concrete class struggles and by the intervention of the state. In the latter regard, it is important to realize that the state is not only subject to the general limits of the capitalist mode of production in its various stages, but also to the specific conjunctural limits arising from particular phases of accumulation. When accumulation is healthy and the economy is booming, the intervention of the state is least needed. Yet, paradoxically, this is precisely when the state has the greatest lattitude. Conversely, when the system enters a crisis phase, the capitalist state is at its most constrained even as the need for intervention is the greatest.

The preceeding point of view is nicely borne out by the history of the *net* transfer rate. This net transfer rate, it will be recalled, is the difference between benefits received and taxes paid expressed as a proportion of the apparent wage. Looking at the benefit and tax rates in Figure 2, and the net transfer rate in Figure 3, we can easily distinguish three broad historical phases (delineated on the graph). In the phase of normal accumulation, from 1952–1969, real taxes are higher than real benefits (Figure 2). But the security afforded by the boom, combined the strength of labor, serve to increase real benefits at a somewhat faster rate than real taxes. As a result, the net transfer rate becomes less negative, finally stabilizing around -3 percent (Figure 3).

The second phase, from 1969–1975, which is widely acknowledged as marking the onset of the economic crisis, is attended by soaring unemployment as the unemployment rate in Figure 2 jumps from 3.5 to 8.5. Because unemployment insurance and welfare payments accelerate with this jump in crisis-induced unemployment, benefits rise sharply relative to wage bill even though taxes paid per dollar of wages continue more or less on their long-run trend (in spite of erratic annual fluctuation). The sharp rise in the net transfer (from −4.2 percent to +5.4 percent, in Figure 3) is therefore a *consequence* of the crisis and its attendant unemployment, and not a cause.

The last phase from 1975–1985 is the one in which the state responds to the crisis by joining in the attack on labor, first through "benign neglect" and then through (Reagan's) direct attack. During this whole period, tax rates rise more or less steadily, so that the movements of the benefit rate dominate the trend of the net transfer rate. For instance, in the Ford–Carter years from 1975–1980, unemployment recedes somewhat from its previous high in 1975, benefit rates fall (Figure 2) which is then reflected in the net transfer rate (Figure 3). But in the first Reagan term from 1980-1983, although unemployment shoots up to an all time high, benefit rates fail to rise because Reagan's attack on labor has begun to be put into place. Then, as Reagan cutbacks accumulate, benefit rates drop sharply from 1983–1985 in the face of only moderate decline in unemployment rates. It is striking that by 1985 the social benefit rate had fallen to a *level below that of 1966,* while the tax rate continued to climb to an all time high (41 percent higher than in 1966, in Figure 3). The net transfer rate therefore falls dramatically from +5.4 percent in 1975 to −11.0 percent in 1985 (an all time low). All of this takes place in the context of true real wages per worker falling back to the levels of 1970, unemployment rates hovering at historically high levels, and ever larger numbers of people slipping into poverty. The benign welfare state, so long a favorite of social democratic theorists, has long since has begun to show its teeth.

$E_1 - T_1$ $\quad E_2 - T_2$

1. $NT = (33.24 - 28.66) + 0.73(47.62 - 62.86)$
$= 4.58 + 0.73(-15.24) = -6.51$

2. $COS/EC \cong 5\%$ (4.2 in 1968, Mandel) $\rightarrow LS = \frac{EC+COS}{PI} = 0.73$ (one we use)

APPENDIX

$LS' = \frac{EC}{PI} = (.95)LS = .694$

3. $NT' = 4.58 + 0.694(-15.24) = -5.99$

Table 1
The Estimation Procedure of Net Transfer

SOCIAL WELFARE EXPENDITURES[a]			
GROUP I $= E_1$	**Total**	**Labor**	
Income Support, Social Security and Welfare	31.01	29.7	
Housing and Community Services	2.81	2.81	
Labor Training and Services	.73	.73	33.24
GROUP II[b] $= E_2$			
Education	27.58	20.13	
Health and Hospitals	6.42	4.69	
Recreational and Cultural Activities	1.21	.88	
Energy	1.03	.75	
Natural Resources	1.96	1.43	
Postal Service	.79 → Business	.58	
Transportation	13.1 → 8.64 →	6.31	
	47.62		34.77
Total Benefits and Income Received by Labor		68.01	
TAXES[c]			
GROUP I $= T_1$	**Total**	**Paid by Labor**	
Contributions for Social Insurance	28.66	28.66	
Government — administered Lotteries and Parimutuels	.002	.002	28.662
GROUP II[d] $= T_2$			
Personal Income Taxes (Federal & State)	50.02 → 50.02 →	36.51	
Other Taxes and Non-taxes	4.99 → 3.56 →	2.6	
Motor Vehicle and Licenses	1.07 → 1.07 →	.78	
Property Taxes	21.69 → Business → 8.21	5.99	
	62.86 →		45.89
Total Taxes Paid by Labor		74.52	
Net Transfer	(68.01) − (74.52) = -6.51	→ −5.99 if Labor Share is adj. for COS	

note that in this year $E_1 - T_1 > 0$ but $E_2 - T_2 < 0$ Does this change?

a. The data for the Social Welfare Expenditures are directly available in BEA (1981:151, 159). (see above)

b. To obtain the portions of these expenditures directed towards labor, all of the items in this group are multiplied by the "labor share" (0.73 for 1964) except the item of Transportation which is also adjusted by the "Gas Share of Passenger Cars" (Tonak 1984:Chap.IV; Appendix II).

c. The data for the taxes are directly available in BEA (1981:121, 123, 129, 134). The item of Government-Administered Lotteries and Parimutuels is listed on the expenditure side and is also available in BEA (1981:170).

d. To obtain the portions of these taxes paid by labor, all of the items in this group are multiplied by the "labor share" (0.73 for 1964) except the item of Property Taxes. Regarding the latter, we consider only the part paid by home-owners which in turn is adjusted by using "labor share" (Tonak 1984:Chap. IV; Appendix I).

Table 2
Expenditures Received and Taxes Paid by Labor
Net Transfer, 1952–85

Years	Exp. & Benefits Received by Labor	Taxes Paid by Labor	Net Transfer
1952	21.01	34.58	-13.57
1953	22.73	36.31	-13.58
1954	26.85	34.89	- 8.04
1955	28.82	38.56	- 9.74
1956	32.69	43.68	-10.99
1957	37.08	47.68	-10.27
1958	43.29	47.84	- 4.55
1959	45.79	53.68	- 7.89
1960	49.21	59.96	-10.75
1961	55.67	62.27	- 6.60
1962	59.39	68.43	- 9.04
1963	63.14	74.28	-11.14
1964	68.01	74.52	- 6.51
1965	75.02	80.74	- 5.72
1966	85.84	97.21	-11.37
1967	99.36	108.52	- 9.16
1968	111.75	125.15	-13.40
1969	124.72	147.68	-22.96
1970	144.97	151.48	- 6.51
1971	166.21	157.06	9.15
1972	183.22	184.74	- 1.52
1973	207.39	211.25	- 3.86
1974	241.83	237.21	4.62
1975	289.12	241.70	47.42
1976	310.98	277.57	33.41
1977	336.39	315.86	20.53
1978	367.93	362.21	5.72
2979	404.81	413.94	- 9.13
1980	468.92	457.18	11.74
1981	504.37	520.44	-16.07
1982	548.14	561.18	-13.04
1983	591.40	581.09	10.31
1984	598.51	646.10	-47.59
1985	467.83	705.27	-237.44

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NOTES

1. Our aim here is to determine the net impact of state redistributive activities on workers' living standards. We therefore focus on wages and net transfers. But neither the wage nor the adjusted wage ("social wage") should be taken to represent the overall standard of living of workers, since neither includes the critical component of production within the household. In a similar vein, we use the term "welfare state" as a convenient and widely used label for the redistributive activities of the state. This does not mean that we accept the notion that the capitalist state can be basically class neutral or structured around the welfare of the working class.
2. Bowles and Gintis even fail to notice that in order for the average worker to have three dependents the population would have to be 60–70 percent larger than it actually is! For instance, in 1977 there were 90.5 million employed workers, which implies a population of 362 million if each worker is assumed to have three dependents. But the actual population was only 217 million. Their implicit population estimate was therefore 67 percent larger than the actual figure.
3. Thus, in calculating the average family share of social welfare expenditures, they multiply the per capita social expenditure level by 4 (the hypothetical family size) as opposed to 3 (the actual household size): an overestimate of 33 percent in social expenditure per household.
4. For 1977, Bowles and Gintis estimate a direct tax per worker of $10 per week, in 1967 dollars. Since they assume one working member per household, this is also their estimate of the direct tax per household (Bowles and Gintis 1982a:73, Table 3, Col.2). On the other hand, Tonak (1984) shows that a more systematic accounting of direct taxes paid yields an estimate of $22.96 per worker (Tonak 1984:128, Chap. V, Table 5, Col.5), times 1.22 workers per household (Tonak 1984:123, Chap. V, Table 5, Col.5), for an overall estimate of $30.45 in direct taxes paid per household, per week. The Bowles and Gintis estimate is therefore two-thirds lower than Tonak's.
5. The BLS spendable earnings data are calculated by deducting only Federal income and social security taxes from gross earnings; all other taxes at the level of State and Local governments are left out.
6. For the rationale and procedures of "labor share method," see Tonak (1984: Chap. IV; 1987).
7. Within Marxian terminology this is the same as (nominal) variable capital if we ignore the distinction between productive and unproductive labor. When we do treat this distinction, variable capital becomes the total employee compensation of productive labor alone (Tonak 1984:Chap. IV).
8. We are interested here in tracing the taxes which flow directly out of employee compensation. This is quite distinct from the time honored question of tax shifting in which one attempts to estimate what workers' income *might have been* if some taxes (such as sales taxes) had been different. Our framework is similar to that of Bowles and Gintis (1982a). On the other hand, it is quite different from that of Miller (1986). First of all, his allocation of taxes between capital and labor is rooted in the tax shifting approach. Secondly, his treatment of expenditures is rooted in the debate around productive and unproductive expenditure rather than the present around the social wage.
9. An additional very small category was added here. It consists of net government receipts from lotteries, etc., which we treat as a kind of direct tax. It is actually listed as a net expenditure in government accounts, but since it is consistently negative we treat it as a positive net tax (Tonak 1987).
10. For further details, see Tonak (1984:Chap. IV; 1987).
11. We leave out the group of taxes comprising Corporate Profit Taxes, Indirect Business Taxes, Estate and Gift Taxes (which only apply to the highest income levels), because they are not levied on workers.
12. The preceeding concept of net transfer includes public assistance (i.e. welfare payments) on the benefit side. This is appropriate if we are interested in the issue of the overall effect of state

taxes and social expenditures on the standard of living of workers, since public assistance is a benefit to the working class as a whole. But if we are interested in the rate of exploitation of labor, we are concerned with employed workers alone. Public assistance is then not an appropriate item on the benefit side, since (unlike social security or unemployment insurance) it is not based upon the present or past employment of the individuals who receive it. For this reason, we leave out public assistance payments when adjusting the apparent rate of exploitation for the effects of state taxes and expenditures (Tonak 1984:Chap. IV).

13. A more detailed description of sources and methods is available in Tonak (1984:Chap. IV, Appendix I, II; 1987).

14. In calculating the effect on the rate of exploitation, we must leave out public assistance from the benefit side (see note 12). This means that the true wage of *employed* workers is even lower than that shown in Figure 2.